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INVESTMENT FUND

Equity Research
02 March 2026

Applovin Corp

Industry Overview

AppLovin sits at the intersection of consumer attention, app distribution, and measurable commerce, where return on ad spend discipline matters as much as user growth. The market has shifted from direct buying to automated auctions, with budgets flowing to channels that can prove outcomes such as installs, purchases, and engagement. The sector is being reshaped by tighter privacy and consent rules that reduce device level signals, pushing the ecosystem toward modelled attribution, aggregated measurement, and faster creative iteration. Economics remain cyclical as auction pricing reprices quickly when marketers adjust budgets. The gap is widening between scaled platforms that can sustain performance under weaker signals and smaller point solutions that struggle with fragmented liquidity, while publishers focus on protecting yield without damaging user experience.

Business Overview & Revenue Engine

AppLovin is best understood as a marketing and performance advertising platform built for the mobile app economy, providing end to end software and AI solutions that help businesses reach, monetize, and grow global audiences. It sits at the point where advertiser demand meets publisher supply, with outcomes driven budgets increasingly routed through automated auctions rather than fixed placements. More recently, the company has paired scale with a clearer focus on efficiency, translating improving platform performance into stronger profitability and cash generation, while returning capital through share repurchases.

The revenue engine is anchored by a suite of products that connect demand, supply, and measurement. AppDiscovery, powered by the AXON advertising engine, matches advertisers with publisher inventory through auctions at vast scale and microsecond level speeds, while Axon Ads Manager is the workflow layer that helps buyers set goals and deploy campaigns. On the publisher side, MAX is the monetization product, using in app bidding to run a real time competitive auction that increases buyer competition and improves yield. Adjust adds measurement and analytics, giving marketers visibility and data to scale spend more effectively, and Wurl expands the platform into connected TV distribution and monetization.

2026 Q2-Q4 Trajectory

AppLovin is judged almost entirely on Axon execution after the Apps divestiture, with investors testing whether the 2025 step change was structural rather than a fleeting spend window. The company entered 2026 off 2025 revenue of $5.481B and free cash flow of $3.95B, so the market is effectively underwriting continued high yield in the ad marketplace and tight cost discipline. Q2 should read as the baseline quarter where fewer holiday distortions make it easier to see whether ecommerce mix is building and whether monetization holds, Q3 is where repeatability matters most with net revenue per installation needing to stay elevated as competition reacts, and Q4 is the true stress test when promotional budgets concentrate and auctions tighten, revealing whether Axon driven efficiency persists and whether the company can keep pairing strong fundamentals with a calmer external backdrop.

Equities

Palo Alto, California U.S.A
Communication Services

2-year rating	**Buy**
2y price target	**$ 590.09**
Current Price	**$ 434.14**
Upside/(Downside)	**35.9%**
TICKER (BBG):	APP US

Trading data and key metrics

52-wk range	$ 200.50-745.61
Market cap	$ 146.03b
Shares o/s	337.28m
Free float	73.9%
AVG. Daily Volume (L3M)	5.6m
Beta	2.51
EV / EBITDA (FY2E)	16.72
P / E (FY2E)	20.93

Estimates

FY (Dec)	2024A	2025A	2026E	2027E
Adj. EBITDA				
Q1	544.8A	1005.0A	1480.0E	1745.0E
Q2	601.2A	1018.3A	1419.0E	1775.0E
Q3	721.6A	1157.7A	1462.0E	1869.0E
Q4	848.0A	1398.7A	1515.8E	1941.6E
Year	2719.6A	4579.7A	5876.8E	7330.6E

Bhavya Patel
Lead Analyst
Sipher Street
bhavya@sipherstreet.com

Henish Patel
Lead Analyst
Sipher Street
henish@sipherstreet.com

AppLovin Corp 2-Y Annotated Stock Chart

1. The first rerating starts in October and completes on the early November Q3 2024 release, when the company put hard numbers behind the Axon narrative. Revenue was $1.20B, up 39% year over year, net income was $434M, and the core software platform revenue was $835M, up 66%, with a 78% adjusted EBITDA margin and $545M of free cash flow. Management then paired the beat with an above consensus Q4 revenue outlook of $1.24B to $1.26B and expanded the share repurchase authorization by $2B, effectively telling the market that model improvements were converting into both operating leverage and immediate capital return. That combination is what explains the step change in the chart, because it moved the story from a strong quarter to a compounding engine with a credible capital return floor.
2. The February peak and air pocket is an expectations reversal rather than a single fundamental break. On Feb 12 the company printed Q4 2024 total revenue of $1.373B, up 44%, with advertising revenue of $999.5M, up 73%, and guided Q1 2025 total revenue to $1.355B to $1.385B while showing $695M of Q4 free cash flow and $2.1B of full year 2024 free cash flow, plus $2.1B of repurchases in 2024. The compression that follows later in the month lines up with Culper Research and Fuzzy Panda short reports, which accused AppLovin of practices that could violate major platform policies and called into question the substance of its AI edge, shifting the debate from growth to partner and compliance risk. When the market pivots to underwriting platform permission risk, the stock typically reprices first and waits for clarity later, which is exactly what the chart shows.
3. The sustained advance through the middle of 2025 was a sequence of company specific catalysts that simplified the story and broadened the buyer base. In May AppLovin agreed to sell its mobile games portfolio to Tripledot for about $800M and the transaction closed June 30, sharpening the narrative into a purer marketing platform with less noise from owned gaming content. In early September, S&P Dow Jones Indices announced AppLovin would join the S&P 500 effective Sept 22, a mechanical demand event that tends to pull in index and benchmark capital. Then on Oct 1 the company rebranded its customer facing platform as Axon and launched Axon Ads Manager on a referral basis, explicitly timing the push around peak holiday spend and positioning it as a self-serve entry point for ecommerce advertisers.

4. The turn from the late December high has been about uncertainty re-entering the discount rate, not a sudden deterioration in the reported business. The stock had become a high beta vehicle after a near straight line run, so any shift from celebration to scrutiny can trigger an outsized unwind, and the most material company specific overhang has been regulatory and platform partner risk around data and permissions. That overhang was reinforced when Reuters reported in February 2026 that the SEC investigation is still active and ongoing, keeping a ceiling on multiples until the market can map the outcome set. Fundamentals stayed strong on the Feb 11, 2026, print, with Q4 2025 revenue of $1.658B, up 66%, full year free cash flow of $3.95B and $2.58B of repurchases, plus Q1 2026 revenue guidance of $1.745B to $1.775B with an 84% adjusted EBITDA margin. Yet the tape has treated those datapoints as necessary but not sufficient, and even headline summaries have framed the move as a roughly half drawdown from the Dec 22 peak, consistent with a market that is pricing confidence risk rather than earnings risk.

Event Type

We classify AppLovin as a structural quality compounder. The AXON product operates all three compounding engines simultaneously: expansionary compounding through the deployment of the same AI infrastructure into new verticals (e-commerce, CTV) at negligible incremental capital; productivity compounding through rising net revenue per installation (+72% YoY in 2025) on a stable capital base, reflecting genuine pricing power and algorithmic efficiency gains; and financial compounding through aggressive share repurchases ($2.58bn in FY2025) that shrink the equity denominator and amplify per share value creation. The business generates ~$4bn in free cash flow on minimal capex, producing free cash flow margins north of 60%, a reinvestment profile that is extraordinarily capital light even by software standards. This is not an event driven or special situations idea; value creation here is endogenous to the business model and does not depend on an external catalyst or rerating.

Investment Thesis

Consensus is pricing AppLovin as a mature, single vertical ad tech business tethered to mobile gaming, with sentiment further compressed by an active SEC probe and sustained short seller campaigns. We see the opposite. What the market has not fully internalised is the speed and quality of AppLovin's TAM expansion into e-commerce and web-based advertising, where the same AXON engine that dominates mobile gaming is demonstrating measurable incrementality for an entirely new category of advertisers, layered onto an existing 80%+ margin infrastructure at near zero marginal cost. The result is a business generating ~$4bn in annual free cash flow with accelerating revenue growth, trading at roughly half its December 2025 levels. The market is confusing narrative risk with fundamental impairment, and the resolution of that gap represents a compelling asymmetry.

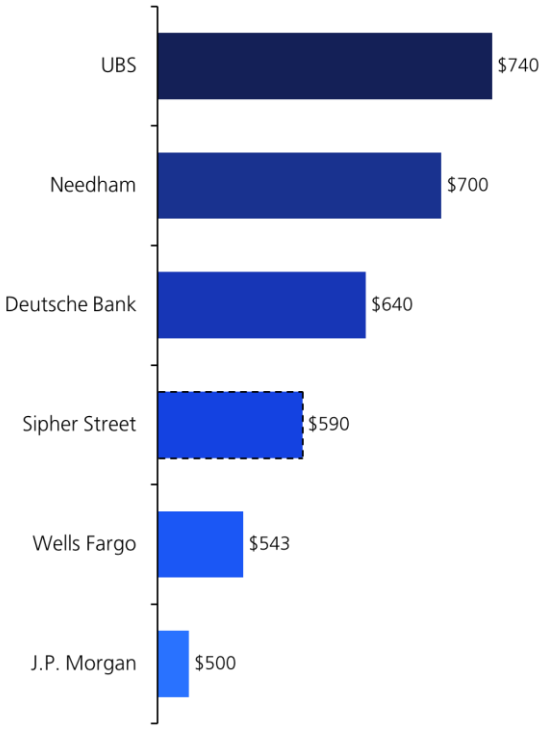
1. AXON's E-Commerce Pivot Multiplies the TAM

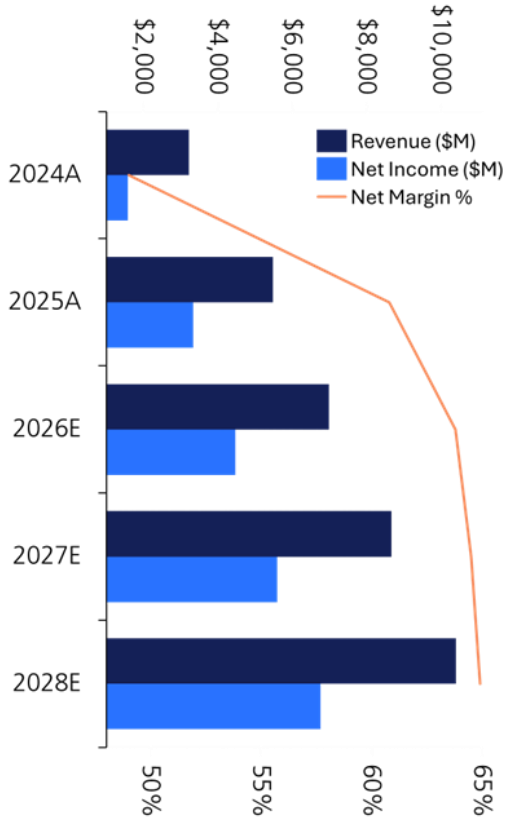
AppLovin's referral-based launch of the AXON Ads Manager in October 2025 began a strategic pivot that transforms the company's addressable market from the structurally bounded mobile gaming ad TAM into e-commerce advertising, a market that is multiple times larger. By December 2025, over 5,300 e-commerce clients had been onboarded, with the category contributing roughly 10% of total revenue, up from near zero in early 2024. The global public launch of the self-serve platform in H1 2026 will extend the platform to millions of SME advertisers worldwide. Critically, AXON's AI optimisation engine is vertical agnostic; the same reinforcement learning models that maximise ROAS for gaming developers are demonstrating "100% incrementality" for e-commerce brands. This is not a greenfield build; it is a marginal cost expansion layered onto existing 80%+ margin software infrastructure.

2. Yield Driven Model Embeds Structural Leverage

The divestiture of the Apps business in June 2025 made the economics of the pure play software platform transparent. Cost of revenue fell from 19% of sales in 2023 to 12% in 2025, while sales and marketing collapsed from 25% to under 4%. The compounding mechanism is explicit: net revenue per installation rose 72% YoY in 2025 alongside only 3% volume growth. This is a yield driven model, not a volume driven model, meaning the business compounds through improving monetisation per unit of activity rather than needing to chase incremental scale. The marginal cost of processing an additional auction is negligible and each additional advertiser strengthens ROAS for every other participant in the ecosystem, creating a self-reinforcing data flywheel that widens the moat with each cycle.

Sell Side Analyst Price Targets





Catalysts

- Q1 2026 Earnings (May): The first full quarter post the FY2025 blowout print; the market will be looking for sustained e-commerce contribution above 10% of revenue, margin durability at 80%+ adjusted EBITDA, and management commentary on advertiser retention and ROAS benchmarks versus Meta and Google.
- SEC Probe Resolution or De-escalation: Any formal closure, settlement, or narrowing of scope removes the most significant sentiment overhang on the stock and would likely trigger a sharp multiple re-expansion toward historical levels.
- European privacy enforcement is creating asymmetric upside in iOS ad economics. France fined Apple €150 million and Italy separately sanctioned Apple over ATT related implementation, raising the probability of remedies that reduce consent friction or improve rule symmetry between platform owners and third parties. Even modest changes in consent flows or measurement tooling would be a meaningful tailwind for outcome driven mobile budgets.
- Dentsu expects global ad spend to grow 5.1 percent in 2026 and exceed one trillion dollars for the first time, with programmatic continuing to take share, which typically channels incremental budgets into outcome driven buying. In the UK, IAB forecasts digital ad spend reaching £45 billion by 2026, with retail media and TV plus as key growth engines.

Strengths:	**Weaknesses:**
1. Axon driven monetization lift 2. MAX scale and data advantage in gaming ads 3. High cash generation and buybacks	1. Net revenue reporting reduces transparency 2. High dependence on mobile platforms and large partners 3. Ecommerce is newer with less proven history
Opportunities:	**Threats:**
1. Ecommerce self-serve rollout expands advertiser base 2. Apply Axon into CTV via Wurl 3. More engaging ad formats support performance spend	1. Intensifying competition from large ad platforms 2. Privacy and policy shifts that hurt attribution and ROI 3. Regulatory and reputational overhang from ongoing scrutiny

Risks

- Platform Dependency on Apple and Google: AppLovin derives substantially all its revenue through mobile applications distributed via the Apple App Store and Google Play Store. Any further restrictive changes to iOS or Android privacy frameworks could impair AXON's targeting efficacy. That said, AppLovin navigated Apple's ATT rollout in 2021 better than most peers, with AXON's reliance on contextual and first party signals rather than device level identifiers providing a structural advantage. Adjusts measurement layer, which the company explicitly walls off from AXON unless a customer directs otherwise, further insulates the platform from data sharing scrutiny.
- E-Commerce Execution Risk: The global self-serve rollout in H1 2026 is the most consequential operational milestone in the company's history. Failure to gain meaningful traction with non-gaming advertisers, or evidence that ROAS benchmarks do not hold outside of mobile gaming, could trigger a significant valuation re rating. However, early signals are encouraging over 5,300 e-commerce clients onboarded within three months of the referral launch, with management citing "100% incrementality," and the addition of former eBay COO Maynard Webb to the board signals strategic seriousness about the
- Macro Cyclicality in Ad Spend: Advertising budgets are inherently cyclical and AppLovin's own filings flag that deteriorating macro conditions, including tariff policy, could reduce advertiser spend. The 2022 ad market contraction demonstrated how quickly sentiment can transmit into budget cuts. AppLovin's mitigant is structural: its outcomes based, ROAS driven pricing model means advertisers only pay when measurable results are delivered, making AXON spend among the last line items to be cut versus brand or awareness budgets that lack direct attribution.

Valuation; DCF Methodology

We anchor fair value on our in-house DCF and use forward trading multiples only as a reasonableness check against the peer set. On this basis, AppLovin screens as a compelling risk/reward at current levels: our base case implies a fair value of approximately $611 per share, representing roughly 39% upside from today, with the model driven primarily by advertising software platform revenue compounding and margin expansion through the AXON engine rather than any speculative TAM assumption. The scenario analysis on the right frames the asymmetry in the name. Upside is a function of e-commerce onboarding pace and sustained margin leverage as AXON scales into new verticals, while downside is principally a question of how quickly competitive or regulatory dynamics could compress the software platform's pricing power.

APP.O DCF Analysis

Implied price / Upside:	
Base case	$590.09 / 35.9%
Bull Case	$757.04 / 74.4%
Bear Case	$433.58 / (0.1%)

Base Case Assumptions

The base case DCF is an unlevered FCFF model with an explicit forecast through 2031E, built to keep the valuation anchored to the cash earnings power implied by our operating drivers rather than aggressive terminal assumptions. In the in-house model, Software Platform revenue grows at a 25% CAGR off the 2025E base, decelerating to approximately 10% by the terminal year as the e-commerce ramp matures and the gaming vertical reaches scale. EBIT margins expand from roughly 75% in 2025E to approximately 81% by 2031E, reflecting the natural operating leverage inherent in a software platform where incremental ad impressions carry near-zero marginal cost. The margin path is deliberately conservative relative to the company's recent trajectory, which has printed north of 75% in the Software Platform segment, to build in execution risk around the transition from a gaming-dominated advertiser base to a broader performance advertising platform.

For terminal value, we apply a 26x EV/EBITDA exit multiple to 2031E EBITDA and cross-check against the implied perpetuity growth rate as a governance mechanism. The 26x terminal multiple sits at a premium to the broader ad-tech peer mean but at a meaningful discount to where the stock has traded through 2024 and 2025, which we view as appropriate for a business that will still be compounding at double-digit rates in the terminal year with best-in-class margins. The implied perpetuity growth rate of approximately 6% is elevated relative to a true steady-state assumption, but we frame this as structurally defensible: the terminal year represents a still-growing, high-margin business rather than a mature cash cow, and extending the explicit forecast to 2035 would produce comparable equity values with lower exit multiples and more conventional perpetuity growth rates. Discounting explicit period cash flows at our WACC of 9.40%, derived from a peer-based beta of approximately 1.55 (Hamada unlevering/relevering across five ad-tech comps: The Trade Desk, Meta, Criteo, Magnite and Unity), produces a blended implied share price of $611.

Bull Case Assumptions

The bull case is designed to capture an outcome where AppLovin's e-commerce expansion accelerates faster than our base assumes and the AXON engine's competitive moat proves more durable. In this scenario, Software Platform revenue compounds at a 32% CAGR off the 2025E base before decelerating to approximately 12% by the terminal year, consistent with a world in which e-commerce advertisers onboard at a faster pace and the platform captures a larger share of performance ad budgets migrating from legacy channels. EBIT margins reach approximately 84.5% by 2031E as the revenue mix shifts further toward high-margin software. The 25x terminal exit multiple is intentionally tighter than the base case to avoid "double counting" the upside already embedded in faster growth, producing an implied share price of approximately $771, or roughly 75% upside from today. Even after compressing the exit multiple, the implied perpetuity growth rate remains within the same range as the base case, which reinforces the internal consistency of the scenario architecture.

Bear Case Assumptions

The bear case is framed to capture a scenario in which competitive intensity increases meaningfully, perhaps through Meta or Google improving their own performance-advertising stacks, or through regulatory intervention that constrains AppLovin's data advantage. Revenue growth decelerates more quickly under this scenario, with Software Platform revenue compounding at approximately 20% initially and fading to 8% by the terminal year. EBIT margins settle lower at roughly 73.5% in the outer years as pricing pressure and increased R&D reinvestment offset some of the platform's natural leverage. We apply a 22x terminal EV/EBITDA multiple, reflecting a more compressed competitive environment, which produces an implied share price of approximately $420, or roughly 5% downside from today. The bear case therefore expresses downside through a combination of slower revenue compounding, modest margin compression, and multiple contraction rather than through any fundamental breakdown in the business model. That the bear case is essentially flat at current levels underscores the favourable skew in the risk/reward profile: even a meaningfully adverse competitive outcome is broadly priced in at today’s valuation.